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The 6 Components of an Institutional-Grade Feasibility Study

What separates a professional study from a back-of-napkin calculation – and why it matters for every development decision you make.

Why Institutional-Grade Studies Are Non-Negotiable

The Cost of Getting It Wrong

Underprepared feasibility studies are among the leading causes of failed development projects. When assumptions go unchallenged and scenarios go untested, capital is misallocated – and deals fall apart at the worst possible moment.

What "Institutional-Grade" Really Means

Institutional investors and lenders don't accept guesswork. They require structured, defensible analysis built on six core components – each designed to surface risk, validate assumptions, and support a clear go/no-go decision with confidence.

This presentation breaks down each component so you know exactly what belongs in a study worth taking seriously.

Project Development Assumptions

The foundation of any feasibility study is a rigorously defined set of development assumptions. These parameters govern every projection that follows – and small errors here compound dramatically downstream.

Land Costs

Acquisition price, closing costs, carrying costs during entitlement, and any seller concessions or earn-out structures.

Construction Costs

Hard costs per square foot, soft costs, contingency reserves, and phased draw schedules tied to construction milestones.

Timelines

Entitlement periods, construction duration, lease-up or sell-out schedules, and stabilization targets.

Development Parameters

Density, unit mix, GBA vs. NRA, parking ratios, and programmatic assumptions driven by zoning and market demand.

Market Research & Analysis

Sound market research transforms assumptions into defensible conclusions. A credible feasibility study goes beyond listing comparable properties – it quantifies supply and demand dynamics, identifies absorption trends, and positions the project within a real competitive landscape.

Supply & Demand Dynamics

Inventory analysis, pipeline tracking, vacancy trends, and net absorption rates across the target submarket and product type.

Competitive Landscape

Direct and indirect comparable projects, their pricing, occupancy, amenity packages, and positioning relative to your proposed development.

Pricing Benchmarks

Rent or sale price per square foot, concession levels, and achievable premiums supported by market evidence.

Absorption Rates

Monthly lease-up or sell-out velocity benchmarks that drive your revenue phasing and stabilization timeline assumptions.

Financial Modeling

This is where assumptions and market data converge into a living, dynamic model. Institutional-grade financial modeling goes far beyond a simple back-of-envelope return estimate – it produces auditable, scenario-driven projections that lenders and equity partners can underwrite with confidence.



Cash Flow Projections

Period-by-period development costs, revenue timing, operating expenses, and net cash flows modeled from groundbreaking through stabilization and disposition.



IRR Calculations

Levered and unlevered internal rate of return, equity multiple, and return on cost – benchmarked against hurdle rates for the asset class and risk profile.



Debt Service Coverage

DSCR calculations across the hold period, stress-tested against rising interest rates and below-stabilization occupancy scenarios to satisfy lender requirements.

Financing Structure

How a project is capitalized is just as important as whether it pencils. The financing structure defines the relationship between debt and equity, determines who bears risk at each tier, and directly impacts projected returns. Institutional studies present this with precision.

Capital Stack

Senior debt, mezzanine financing, preferred equity, and common equity – each layer sized, priced, and prioritized.

Loan Terms

LTC or LTV ratios, interest rate assumptions, recourse vs. non-recourse structure, and construction-to-permanent execution.

Equity Requirements

Sponsor equity, LP equity, co-GP contributions, and promote structures aligned with investor return expectations.

Why It Matters

A project with strong fundamentals can fail to attract capital if the financing structure is poorly designed. Lenders underwrite the capital stack as closely as the real estate itself – and equity partners evaluate promote structures before committing. Getting this section right is what moves a deal from concept to close.

Risk & Sensitivity Analysis

No development project executes exactly as planned. Institutional-grade studies don't hide risk – they quantify it, model it, and present mitigation strategies that demonstrate disciplined underwriting. This section is often what separates credible studies from optimistic projections.



Sensitivity tables – showing how IRR and equity multiple shift with changes in exit cap rate, construction cost, and lease-up velocity – are a standard expectation for institutional capital partners.

Executive Summary

The executive summary is the first thing decision-makers read and often the only thing they share. It must distill every component of the study into a concise, compelling case for – or against – proceeding with the project.

1

Clear Recommendations

An unambiguous position – proceed, proceed with conditions, or do not proceed – supported by the analysis within the full study.

2

Key Metrics Dashboard

Total project cost, projected IRR, equity multiple, return on cost, DSCR, and stabilized yield – all in one place.

3

Go/No-Go Decision Framework

The specific thresholds, conditions, and contingencies that define success – giving stakeholders a clear basis for their capital commitment decision.

The 6 Components at a Glance

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Every institutional-grade feasibility study must address all six components – each one building on the last to create a complete, defensible investment thesis.



Project Development Assumptions

Land, construction costs, timelines, and development parameters.



Market Research & Analysis

Supply/demand dynamics, competitive landscape, and absorption rates.



Financial Modeling

Cash flow projections, IRR, equity multiples, and DSCR.



Financing Structure

Capital stack, loan terms, equity requirements, and funding sources.



Risk & Sensitivity Analysis

Scenario testing, break-even analysis, and risk mitigation strategies.



Executive Summary

Clear recommendations, key metrics, and go/no-go decision framework.



Ready to Modernize Your Feasibility Studies?

FeasiBuild

FeasiBuild delivers institutional-grade analysis in 30 minutes, not weeks. Stop spending days assembling spreadsheets and chasing assumptions. FeasiBuild automates all six components of a professional feasibility study – giving developers, investors, and analysts the rigor of an institutional model at the speed of a modern workflow.

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